

TECHNOVA ELECTRONICS INC.

SUPPLIER QUALITY ASSESSMENT REPORT

SUPPLIER	PowerCell Technologies
LOCATION	Shenzhen, China
ASSESSMENT PERIOD	July – September 2025 (Q3)
REPORT ID	SQA-RPT-2025-Q3-001
PREPARED BY	Quality Engineering Team
DATE	October 5, 2025

RISK CLASSIFICATION: RED

CLASSIFICATION: CONFIDENTIAL

Executive Summary

PowerCell Technologies has been assessed as a **HIGH RISK** supplier for Q3 2025. On-time delivery performance has dropped to **73.2%**, significantly below the target threshold of 95%. The average procurement lead time of **11.1 days** exceeds the contractual commitment of 8 days. While the incoming material rejection rate of 1.0% remains within tolerance, delivery reliability continues to impact downstream manufacturing schedules at the Austin Assembly Plant.

Supplier Profile

Attribute	Value
Company Name	PowerCell Technologies
Headquarters	Shenzhen, China
Components Supplied	Li-Ion Battery Cell 72Wh, Li-Ion Battery Cell 56Wh, NVMe SSD 1TB M.2
Total PO Lines (Q3)	56
Industry Sector	Electronics
Relationship Since	2022
Tier	Tier 1 Strategic Supplier

Risk Classification: RED — Criteria: OTD below 85% triggers RED classification per Policy POL-RISK-004.

Performance Metrics

Delivery Performance

Metric	Value	Target/Contract
On-Time Delivery Rate	73.2%	>= 95%
Average Lead Time	11.1 days	8 days
Late Delivery Count	15 of 56 PO lines	—
Worst Delay	7 days (PO00000198, Li-Ion Battery Cell 72Wh)	—

Delivery performance has declined from 81% in Q2 to 73.2% in Q3. Root cause analysis indicates capacity constraints at the Shenzhen facility due to increased demand from multiple OEM customers.

Quality Performance

Metric	Value	Target
Incoming Rejection Rate	1.0%	< 2%
Total Units Rejected	14 units across all components	—
Most Common Defect	Cell voltage below threshold (Li-Ion Battery Cell 72Wh)	—

Metric	Value	Target
Quality Notifications Raised	5	—

Although quality metrics remain within acceptable limits, the combination of delivery delays and quality holds has created compounding effects on the Austin Assembly Plant production schedule.

Cost Performance

Item	Value
Average Unit Price (Battery 72Wh)	\$400.00
Average Unit Price (Battery 56Wh)	\$350.00
Average Unit Price (SSD 1TB)	\$120.00
Price Variance vs Contract	Within 2% tolerance
Invoice Match Rate	94% (6% with value discrepancies requiring resolution)

Downstream Impact Assessment

Manufacturing Impact

PowerCell's delayed battery deliveries directly caused 3 production order reschedulings in August 2025. The TechNova ProBook 15 Laptop (FG-LP-PRO15) was most affected, with cycle time increasing from 2.0 to 2.8 days during the affected period due to component unavailability.

Inventory Impact

Battery component stock at Austin Finished Goods Warehouse dropped below safety stock level twice during Q3. The Li-Ion Battery Cell 72Wh reached critical low status on August 12 and September 3.

Customer Impact

12 customer sales orders experienced delayed fulfillment traceable to PowerCell delivery delays. Average customer delivery delay: 3.2 days. Affected customers include Ravi Kumar (Bangalore), Infovista Corp (New York), and QuantumLeap Ltd (Chicago).

Financial Impact

Cost Component	Amount
Expedited freight for alternative sourcing	\$12,000
Production overtime at Austin plant	\$18,000
Customer credit notes for late delivery	\$15,000
Estimated Total Cost of Disruption	\$45,000

Corrective Action Plan

1. Immediate (Within 2 weeks)

- PowerCell to provide daily shipment tracking for all open POs
- Establish safety stock buffer of 200 units for Battery 72Wh
- Activate secondary supplier LuminaDisplay Corp for SSD components

2. Short-Term (Within 30 days)

- PowerCell to complete root cause analysis for delivery failures
- Implement weekly supplier performance review calls
- PowerCell to add dedicated production line for TechNova orders

3. Long-Term (Within 90 days)

- Evaluate dual-sourcing strategy for all battery components
- PowerCell to invest in capacity expansion (committed Q1 2026)
- Renegotiate contractual lead time penalties

Escalation: If OTD does not improve to 85% by end of Q4 2025, recommendation is to reduce PowerCell allocation by 30% and redistribute to ChipWorks Semiconductor (current OTD: 94.3%) and LuminaDisplay Corp (current OTD: 94.3%).

Approval Signatures

Quality Manager: _____ Date: _____

Procurement Director: _____ Date: _____

VP Supply Chain: _____ Date: _____